

Introduction to Accountancy

I Very Short Questions

Q1 What is meant by accounting?

Ans It is a systematic process of measuring, recording, classifying and summarising the financial transactions, analysing and interpreting the financial statements and communicating the results to the user.

Q2 What is accounting cycle?

Ans A continuous multi-step process for recording and processing all financial transactions of a business.

Q3 Give any 2 objectives of Accounting?

Ans The 2 objectives of accounting:

- * Calculate profit/loss
- * Determine financial positions

Q4 How do you ascertain financial position of business?

Ans One can ascertain the financial conditions of the business by preparing and analyzing the balance sheet, which lists the user's total assets and liabilities.

Q5

Name any 2 Internal uses?

Ans

Two examples of internal users of accounting information are:

- * Owners: They use accounting records to know profit/loss and financial position of the business.
- * Managers: They rely on accounting data for planning, controlling, and making decisions about operations.

Q6

Name any two uses of accounting information.

Ans

The two uses of accounting information are:

- * Information Relating to Profit or Loss.
- * Information Relating to Financial Positions.

Q7

Name any 2 external uses?

Ans

Two examples external uses of accounting are:

- * Investors: They use accounting reports to judge profitability and decide whether to invest or continue investing.
- * Creditors: They rely on financial statements to assess whether the business can repay loans to meet obligations.

Q8

Mention 2 advantages of accounting.

Ans

Two advantages of accounting are:

- * It provides systematic financial records.
- * It assists management in effective decision making and planning.

II Short Questions

Q1 Define accounting.

Ans Accounting is the systematic process of identifying, recording, classifying, summarizing, and interpreting financial transactions of a business, and communicating the results to users, so they can assess performance, financial position, and make informed decisions.

Q2 "Only financial transactions are recorded in accounting" Explain.

Ans Accounting records only financial transactions measurable in money. Events like purchases, sales, salaries, or rent are included, while non-financial aspects such as employee skills or customer satisfaction are excluded, since they cannot be expressed in monetary terms.

Q3 What is the meaning of 'Recording in terms of money'?

Ans It means accounting records only those transactions that can be expressed in monetary terms. All business activities - like sales, purchases, salaries, or rent - are measured in money and entered in books, while non-monetary events are excluded.

Q5 Give difference between book keeping and accounting on the basis of special skills and nature of job.

Basis	Book-Keeping	Accounting
1) Special Skills	Require basic knowledge of recording transactions; no specialized analytical skills needed	Require specialized knowledge of principles, standards, and analytical skills for interpretation and decision-making
2) Nature of Job	Primarily clerical; recording day to day financial transactions.	Analytical and interpretative: classifying, summarizing, interpreting, and communicating financial information.

Q6 Explain briefly any 5 advantages of accounting.

Ans Five advantages of accounting explained are:

- Systematic records: Maintained organized financial data.
- Profit/Loss Determination: Shows business performance.
- Financial position: Reveal assets, liabilities, and capital.
- Decision-making aid: Provides reliable information for planning.
- Legal evidence: Serves as proof in disputes or audits.

Q7 Explain the various branches of accounting.

Ans - a Financial Accounting: Records and reports business transactions to show profit/loss and financial position.

b Cost accounting: Calculates and controls costs of production and operations.

c Management Accounting: Provides information for planning, decision-making, and control.

d Social responsibility Accounting: Measures social/environment impact of business.

e Human resource accounting: Values and reports human resources as assets.

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